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UNITED STATES BANKRUPTCY COURT

IN THE UNITED STATES BANKRUPTCY COURT
FOR THE NORTHERN DISTRICT OF TEXAS
FORT WORTH DIVISION

In re:	Chapter 11
PRIMALEND CAPITAL PARTNERS, LP, *et al.*,[1]	Case No. 25-90000 (MXM)
Debtors.	(Jointly Administered)
PRIME ASSET, LLC	Adv. Pro. No. 26-[ ] ( )
Plaintiff,	
v.	
PRIMALEND CAPITAL PARTNERS, LP, GOOD FLOOR LOANS LLC, LNCMJ MANAGEMENT, LLC, PCAP HOLDINGS, LP, AND MARK JENSEN	
Defendants.	

ADVERSARY COMPLAINT

Plaintiff Prime Asset LLC ("Prime Asset"), by way of this adversary complaint against (i) PrimaLend Capital Partners, LP ("PCP"), Good Floor Loans LLC ("GFL"), LNCMJ Management, LLC ("LNCMJ"), and PCAP Holdings, LP ("PCAP" and, together with PCP, GFL,

[1] The debtors and debtors-in-possession in these chapter 11 cases, along with the last four digits of their respective Employer Identification Numbers, are as follows: PrimaLend Capital Partners, LP (0313), Good Floor Loans LLC (8219), LNCMJ Management, LLC (1374), and PCAP Holdings, LP (8774). The location of the Debtors' headquarters is 3460 Lotus Drive, Suite 100, Plano, TX 75075.

ADVERSARY COMPLAINT

and LNCMJ, "PrimaLend") and (ii) Mark Jensen ("Jensen" and, together with PrimaLend, the

Plaintiff, Prime Asset LLC ("**Prime Asset**"), by way of this adversary complaint against

"Defendants"), hereby states as follows:

(i) PrimaLend Capital Partners, LP ("**PCP**"), Good Floor Loans LLC ("**GFL**"), LNCMJ

PRELIMINARY STATEMENT

Management, LLC ("**LNCMJ**"), and PCAP Holdings, LP ("**PCAP**" and, together with PCP, GFL,

1. This adversary complaint arises from the Defendants' systematic and unlawful

and LNCMJ, "**PrimaLend**") and (ii) Mark Jensen ("**Jensen**" and, together with PrimaLend, the

actions to infiltrate and dominate Prime Asset's operations, leveraging this control to induce

Plaintiff, Prime Asset LLC ("**Prime Asset**"), by way of this adversary complaint against

Prime Asset into entering transactions that burdened Prime Asset with excessive debt and

"**Defendants**"), hereby states as follows:

underperforming loan portfolios—all in service of the Defendants' broader scheme to

PRELIMINARY STATEMENT

fraudulently inflate their own financial profitability by foisting underperforming loans on Prime

1. This adversary complaint arises from the Defendants' systematic and

Asset (and others). The Defendants have engaged in a pervasive pattern obfuscating the

unlawful actions to infiltrate and dominate Prime Asset's operations, leveraging this control to

consequences of their dubious lending practices by transferring distressed assets into car

induce Prime Asset into entering transactions that burdened Prime Asset with excessive debt and

dealership after dealership, with the intention of pushing off the realization of PrimaLend's own

underperforming loan portfolios—all in service of the Defendants' broader scheme to fraudulently

losses. Ultimately, this scheme collapsed, resulting in the underlying Chapter 11 Cases (as

inflate their own financial profitability by foisting underperforming loans on Prime Asset (and

defined below).

others). The Defendants have engaged in a pervasive pattern obfuscating the consequences of their

2. Prime Asset operates a factoring business in the buy-here-pay-here ("BHPH")

dubious lending practices by transferring distressed assets into car dealership after dealership, with

loan industry. Put simply, Prime Asset buys retail installment sales contracts ("RISCs") from car

the intention of pushing off the realization of PrimaLend's own losses. Ultimately, this scheme

dealerships that entered into such contracts with their customers and, in exchange, Prime Asset

collapsed, resulting in the underlying Chapter 11 Cases (as defined below).

provides the dealerships with financing. Since at least 2022, however, Prime Asset's business has

2. Prime Asset operates a factoring business in the buy-here-pay-here

been repeatedly impaired by the Defendants' exercising their control over Prime Asset to coerce

("BHPH") auto loan industry. Put simply, Prime Asset buys retail installment sales contracts

Prime Asset into purchasing distressed notes from failed dealerships, including from

("RISCs") from car dealerships that entered into such contracts with their customers and, in

PrimaLend's clients Auto Finance Center Holdings ("AFCH"), Your Car Store ("YCS"), and

exchange, Prime Asset provides the dealerships with financing. Since at least 2022, however,

Automotive Services Finance ("ASF"). For example, in September 2022, PrimaLend brokered

Prime Asset's business has been repeatedly impaired by the Defendants' exercising their control

the transfer of near-valueless notes from PrimaLend's client AFCH to Prime Asset. These

over Prime Asset to coerce Prime Asset into purchasing distressed notes from failed dealerships,

transfers were either constructively or actually fraudulent and had severe repercussions on Prime

including from PrimaLend's clients Auto Finance Center Holdings ("**AFCH**"), Your Car Store

Asset's financial stability and health. Jensen, as CEO of PrimaLend, then orchestrated

("**YCS**"), and Automotive Services Finance ("**ASF**"). For example, in September 2022,

unauthorized transfers of nearly $38,000,000 in loans from Prime Asset to Auto One Acceptance

("AOA"), and directed the sale of approximately $4,100,000 in YCS receivables to AOA. On

PrimaLend brokered the transfer of near-valueless notes from PrimaLend's client AFCH to Prime

Asset; these transfers were either constructively or actually fraudulent and had severe June 28, 2024, these receivables were then putatively resold back into Prime Asset without any repercussions on Prime Asset's financial stability and health. Jensen, as CEO of PrimaLend, then formal or informal authorization by Prime Asset.

orchestrated unauthorized transfers of nearly $38,000,000 in loans from Prime Asset to Auto One

3. Upon information and belief, PrimaLend and Jensen repeatedly engaged in

Acceptance ("**AOA**"), and directed the sale of approximately $4,100,000 in YCS receivables to unregistered "**broker**" activity under the Securities Exchange Act of 1934 and the Texas

AOA. On June 28, 2024, these receivables were then putatively resold back into Prime Securities Act by taking so-called "advisory fees" for matching sellers of loans with buyers, Asset without any formal or informal authorization by Prime Asset.

including in 2018 when Prime Asset's predecessor-entity paid a "success fee" to an entity

controlled by Jensen as a condition for entering into a transaction.

3. Upon information and belief, PrimaLend and Jensen repeatedly engaged in

4. In December 2023, Jensen and PrimaLend directed Eric Ryan ("Ryan") to take unregistered "broker" activity under the Securities Exchange Act of 1934 and the Texas Securities control of Prime Asset. Shortly afterwards, in April 2024, Jensen coerced Ryan into purchasing Act by taking so-called "advisory fees" for matching sellers of loans with buyers, including in the overpriced ASF portfolio, thereby significantly impairing Prime Asset's financial stability 2018 when Prime Asset's predecessor-entity paid a "success fee" to an entity controlled by Jensen and reducing its borrowing base by nearly $500,000 in one day.

as a condition for entering into a transaction.

5. On June 28, 2024, without notice or consent, PrimaLend and Jensen unilaterally

raised the interest rate on Prime Asset's revolving line of credit from 7.0% to SOFR + 9.50%

4. In December 2023, Jensen and PrimaLend directed Eric Ryan ("**Ryan**") to (equivalent at that point to 14.8%), resulting in over $2,000,000 in additional interest expenses take control of Prime Asset. Shortly afterwards, in April 2024, Jensen coerced Ryan into from June 28, 2024 through the present.

purchasing the overpriced ASF portfolio, thereby significantly impairing Prime Asset's financial

6. In a meeting on January 13, 2025, Jensen admitted to PrimaLend's substantial control stability and reducing its borrowing base by nearly $500,000 in one day.

over Prime Asset despite lacking formal legal authority: (a) Jensen claimed that Ryan's equity

5. On June 28, 2024, without notice or consent, PrimaLend and Jensen interests in Prime Asset in fact belonged to PrimaLend and (b) Jensen described himself as a

unilaterally raised the interest rate on Prime Asset's revolving line of credit from 7.0% to board member making decisions for Prime Asset. In response, Ryan expressed concerns about

SOFR + 9.50% (equivalent at that point to 14.8%), resulting in over $2,000,000 in additional coercion and management removals for non-compliance with PrimaLend's directives.

interest expenses from June 28, 2024 through the present.

7. PrimaLend's excessive control and fraudulent transfers have acutely damaged (and

continue to damage) Prime Asset's financial stability. Indeed, Prime Asset is currently threatened

6. In a meeting on January 13, 2025, Jensen admitted to PrimaLend's with foreclosure under the loans PrimaLend tortiously caused it to incur.

substantial control over Prime Asset despite lacking formal legal authority: (a) Jensen claimed that

8. Prime Asset now brings claims for the following: (a) fraudulent transfer for a series Ryan's equity interests in Prime Asset in fact belonged to PrimaLend and (b) Jensen described of 2022 transactions shuffling money away from Prime Asset and into PrimaLend's coffers; (b) himself as a board member making decisions for Prime Asset. In response, Ryan expressed tortious interference for the excessive control PrimaLend wielded over Prime Asset and

concerns about coercion and management removals for non-compliance with PrimaLend's PrimaLend's widespread abuse of that control; (c) breach of fiduciary duty; (d) breach of good directives.

7. PrimaLend's excessive control and fraudulent transfers have acutely damaged (and continue to damage) Prime Asset's financial stability. Indeed, Prime Asset is currently threatened with foreclosure under the loans PrimaLend tortiously caused it to incur.

8. Prime Asset now brings claims for the following: (a) fraudulent transfer for a series of 2022 transactions shuffling money away from Prime Asset and into PrimaLend's coffers; (b) tortious interference for the excessive control PrimaLend wielded over Prime Asset and PrimaLend's widespread abuse of that control; (c) breach of fiduciary duty; (d) breach of good faith; (e) a judgment declaring the Defendants' transactions purportedly entered into on Prime Asset's behalf void and of no effect; (f) a declaratory judgment recognizing Prime Asset's right to offset any debts owed to the Defendants based on any of the Defendants' tortuous conduct (notwithstanding PrimaLend's current attempt to sell all or substantially all of its assets free and clear of all claims and interests pursuant to 11 U.S.C. § 363); and (g) an order restraining the Defendants from foreclosing on, or seeking to foreclose on, those portions of Prime Asset's debt flowing from, and (potentially) offset by, the Defendants' tortious conduct.

JURISDICTION AND VENUE

9. The United States Bankruptcy Court for the Northern District of Texas (the "**Court**") has jurisdiction over the parties and the subject matter of this proceeding pursuant to §§ 157 and 1334 of title 28 of the United States Code.

10. Prime Asset confirms its consent, pursuant to rule 7008 of the Federal Rules of Bankruptcy Procedure, to the entry of a final order by this Court if it is later determined that this Court, absent consent of the parties, cannot enter final orders or judgments in connection herewith consistent with Article III of the United States Constitution.

11. Venue is proper pursuant to 28 U.S.C. §§ 1408 and 1409.

PARTIES

12. Plaintiff Prime Asset LLC is a Texas limited liability company with its principal place of business at 524 E Lamar Blvd Suite 100 Arlington, TX 76011.

13. Upon information and belief, Defendant PCAP Holdings, LP is a Texas limited partnership with its principal place of business at 3460 Lotus Drive, Suite 100, Plano, TX 75075.

14. Upon information and belief, Defendant PrimaLend Capital Partners, LP is a Texas limited partnership with its principal place of business at 3460 Lotus Drive Suite 100, Plano, TX 75075.

15. Upon information and belief, Defendant Good Floor Loans LLC is a Texas limited liability company with its principal place of business at 3460 Lotus Drive Suite 100, Plano, TX 75075.

PARTIES

12. Plaintiff Prime Asset LLC is a Texas limited liability company with its principal place of business at 524 E Lamar Blvd Suite 100 Arlington, TX 76011.

13. Upon information and belief, Defendant PCAP Holdings, LP is a Texas limited partnership with its principal place of business at 3460 Lotus Drive, Suite 100, Plano, TX 75075.

14. Upon information and belief, Defendant PrimaLend Capital Partners, LP is a Texas limited partnership with its principal place of business at 3460 Lotus Drive Suite 100, Plano, TX 75075.

15. Upon information and belief, Defendant Good Floor Loans LLC is a Texas limited liability company with its principal place of business at 3460 Lotus Drive Suite 100, Plano, TX 75075.

16. Upon information and belief, Defendant LNCMJ Management, LLC is a Texas limited liability company with its principal place of business at 3460 Lotus Drive, Suite 100, Plano, TX 75075. LNCMJ is the managing entity and general partner of both PCAP and PCP.

17. Upon information and belief, Defendant Mark Jensen, a natural person residing in the state of Texas, is the Chief Executive Officer and 50% owner of LNCMJ and is the indirect owner of approximately 18% of PCAP.

18. On October 22, 2025 (the "Petition Date"), Defendants PCP, GFL, and LNCMJ filed voluntary petitions for relief under chapter 11 of title 11 of the United States Code (the "Bankruptcy Code") in this Court. On December 12, 2024, Defendant PCAP filed a voluntary petition for relief under chapter 11 of the Bankruptcy Code in this Court (together with PCP, GFL, and LNCMJ's bankruptcy proceedings, the "Chapter 11 Cases").

19. Prime Asset is a party in interest in the Chapter 11 Cases pursuant to 11 U.S.C. § 1109(b).

FACTUAL BACKGROUND

A. PrimaLend.

20. Under the direction of CEO Mark Jensen, PrimaLend operates one of the nation's largest lending operations targeted at BHPH dealerships. Under the BHPH model, auto dealers provide near-instant, point-of-sale financing (generally at high interest rates) to car purchasers who often do not qualify for a traditional bank loan.

21. BHPH transactions are generally conducted through RISCs, which outline the financing terms for the purchase and authorize the dealership to repossess the sold vehicle promptly if the buyer defaults.

22. PrimaLend (through Defendant PCP) provides revolving lines of credit ("RLOCs") to its client dealerships for the purpose of originating (or purchasing) RISCs. Through Defendant GFL, PrimaLend also offers floorplan loans to assist client dealerships in acquiring vehicle inventory for sale.

26. PrimaLend's profligate lending inevitably pushed these dealerships into

23. Given the credit-challenged nature of BHPH customers, BHPH transactions feature over-leveraged and over-advanced positions, where the value of their collections, repossessions, a heightened rate of default. To remain profitable, BHPH dealerships must, therefore, be able to and inventory was far exceeded by their debts to PrimaLend. However, foreclosing on dealerships rapidly repossess, repair, and resell the vehicles securing their loans. As such, BHPH loans where PrimaLend had often invested millions or tens of millions of dollars would have risked require continuous, hands-on, and expert monitoring and servicing.

compromising PrimaLend's reputation of financial success to the public, its lenders, and its clients.

24. PrimaLend has engaged in systematic abuses to the public, its lenders, and its clients. scheme that extends far beyond the wrongs committed against Prime Asset.

27. PrimaLend's consistently chosen path for navigating this dilemma was,

25. During periods when the BHPH industry was prospering, PrimaLend consistently time and time again, to simply push it off into the future—loaning money to *new* dealerships or encouraged dealerships to expand their loan portfolios beyond their servicing capabilities, operators to purchase the distressed RISC notes from its failing clients, regardless of that supported by freely issued debt that they could not repay. On information and belief, PrimaLend dealership's or operator's ability to actually pay down the newly acquired debt.

deliberately ignored financial metrics of these dealerships that could have warned both parties of

28. As such, and to delay recognition of the inevitable losses stemming from its the inevitable collapse that would ensue.

inappropriate lending practices, PrimaLend was in constant need of dealerships that it could

26. PrimaLend's profligate lending inevitably pushed these dealerships into over-

persuade, induce, or pressure into purchasing distressed portfolios. These dealerships, in turn, leveraged and over-advanced positions, where the value of their collections, repossessions, and would inevitably be left holding PrimaLend's bag of debt when the pyramid toppled.

inventory was far exceeded by their debts to PrimaLend. However, foreclosing on dealerships

where PrimaLend had often invested millions or tens of millions of dollars would have risked

29. At the same time, PrimaLend artificially inflated the value of its

compromising PrimaLend's reputation of financial success to the public, its lenders, and its dealership-clients to conceal PrimaLend's precarious financial position from its lenders. This clients.

included, but was not limited to, (a) purchasing minimal-value assets from clients for over-inflated

27. PrimaLend's consistently chosen path for navigating this dilemma was, time and

prices so that the ensuing loss to PrimaLend could be amortized over the course of years instead time again, to simply push it off into the future—loaning money to new dealerships or operators

of being reported to lenders as one time, (b) directing its clients to borrow from one of PrimaLend's to purchase the distressed RISC notes from its failing clients, regardless of that dealership's or

credit lines to pay off other PrimaLend credit lines in order to carefully manage the data presented operator's ability to actually pay down the newly acquired debt.

to PrimaLend's lenders regarding its clients' performance, (c) "rebating" a portion of the interest

28. As such, and to delay recognition of the inevitable losses stemming from its

inappropriate lending practices, PrimaLend was in constant need of dealerships that it could payments that PrimaLend received from its dealership-clients, which (i) artificially inflated those persuade, induce, or pressure into purchasing distressed portfolios. These dealerships, in turn, dealership-clients' top-line performances and borrowing bases (and, by extension, PrimaLend's would inevitably be left holding PrimaLend's bag of debt when the pyramid toppled.

own borrowing base with its lenders) but (ii) made little actual difference to those dealership-

29. At the same time, PrimaLend artificially inflated the value of its dealership-clients'

clients' financial fundamentals given their inability to repay the underlying debt, and (d) to conceal PrimaLend's precarious financial position from its lenders. This included, but was not

converting large quantities of dealership-client debt into subordinated debt to enable PrimaLend

to manipulate the amount of outstanding senior debt it needed to report to its lenders for the limited to, (a) purchasing minimal-value assets from clients for over-inflated prices so that the purpose of its lender covenants.
ensuing loss to PrimaLend could be amortized over the course of years instead of being reported

30. By means of these tactics, PrimaLend was able to direct millions of dollars to lenders at one time, (b) directing its clients to borrow from one of PrimaLend's credit lines to in cash distributions to Jensen (filtered through PCAP, in which Jensen holds an indirect limited pay off other PrimaLend credit lines in order to carefully manage the data presented to partnership interest), which PrimaLend's lenders would not have permitted if PrimaLend and partnership's lenders, regarding PrimaLend's performance, (c) not having a portion of the interest Jensen had taken timely and appropriate losses on distressed portfolios. payments that PrimaLend received from its dealership-clients, which (i) artificially inflated those dealership-clients' top-line performances and borrowing bases (and, by extension, PrimaLend's

B. Prime Asset.

own borrowing base with its lenders) but (ii) made little actual difference to those dealership-

31. Prime Asset operates in the BHPH auto-dealing space, where it performs, clients' financial fundamentals given their inability to repay the underlying debt, and (d) or has performed, a wide variety of roles. Currently, the central plank of Prime Asset's business converting large quantities of dealership-client debt into subordinated debt to enable PrimaLend model is its Strategic Dealer Solutions ("**SDS**") business line. to manipulate the amount of outstanding senior debt it needed to report to its lenders for the

32. SDS provides much-needed liquidity to retail BHPH dealers in 31 states. In purpose of its lender covenants.

exchange for upfront funding, SDS purchases and services RISCs from its dealership-clients— 30. By means of these tactics, PrimaLend was able to direct millions of dollars often with the aim of reselling those RISCs in bulk once they have been adequately "seasoned." in cash distributions to Jensen (filtered through PCAP, in which Jensen holds an indirect limited Seasoning a RISC portfolio involves holding and servicing that portfolio for a sufficient period of partnership interest), which PrimaLend's lenders would not have permitted if PrimaLend and time to enable bulk-purchasers to reliably determine the risk profile of the underlying contracts. Jensen had taken timely and appropriate losses on distressed portfolios.

B. Prime Asset.

33. SDS's factoring-based model enables it to extend financing to dealerships 31. Prime Asset operates in the BHPH auto-dealing space, where it performs, or has that are too small to enter into an RLOC with PrimaLend. Moreover, because SDS's model does performed, a wide variety of roles. Currently, the central plank of Prime Asset's business model not require it to originate its own RISCs, ownership of SDS would not place PrimaLend in direct is its Strategic Dealer Solutions ("SDS") business line.

32. SDS provides much-needed liquidity to retail BHPH dealers in 31 states. In competition with the retail BHPH lenders who form the bread and butter of PrimaLend's client exchange for upfront funding, SDS purchases and services RISCs from its dealership-clients— base. SDS, therefore, has long been viewed and described by Jensen as an attractive acquisition often with the aim of reselling those RISCs in bulk once they have been adequately "seasoned." target and he has made repeated overtures seeking to persuade SDS's management to part with Seasoning a RISC portfolio involves holding and servicing that portfolio for a sufficient period their ownership of it. of time to enable bulk-purchasers to reliably determine the risk profile of the underlying

contracts.

34. In addition to its factoring business, Prime Asset's considerable expertise in

33. SDS's factoring-based model enables it to extend financing to dealerships that are nationwide BHPH-loan servicing has enabled it to operate as the third-party servicer for multiple too small to enter into an RLOC with PrimaLend. Moreover, because SDS's model does not large BHPH dealerships that lack the means (or licenses) to service their own loans. In that require it to originate its own RISCs, ownership of SDS would not place PrimaLend in direct capacity, and at PrimaLend's urging, Prime Asset acts as third-party servicer for large competition with the retail BHPH lenders who form the bread and butter of PrimaLend's client dealership clientele. Accordingly, has long been viewed and described by Jensen as an attractive acquisition base. SDS, therefore, target and he has made repeated overtures seeking to persuade SDS's management to part with

35. Prime Asset's servicing capabilities have grown in import to PrimaLend as, their ownership of it. with the collapse of PrimaLend's BHPH-dealer client base, PrimaLend has been forced to take

34. In addition to its factoring business, Prime Asset's considerable expertise in increased responsibility for the servicing of RISCs originated by PrimaLend's now-insolvent nationwide BHPH-loan servicing has enabled it to operate as the third-party servicer for multiple borrowers. As such, PrimaLend has grown increasingly committed to treating Prime Asset like a large BHPH dealerships that lack the means (or licenses) to service their own loans. In that captive loan-servicer and, ultimately, in forcing Prime Asset's ownership to surrender their capacity, and at PrimaLend's urging, Prime Asset acts as third-party servicer for large dealership-equity-interests in the company to PrimaLend. clients of PrimaLend.

36. Prime Asset's financial operations are supported by both an RLOC and a 35. Prime Asset's servicing capabilities have grown in import to PrimaLend as, with the collapse of PrimaLend's BHPH-dealer client base, PrimaLend has been forced to take increased subordinated loan from PrimaLend, which serves as Prime Asset's sole lender. On February 28, responsibility for the servicing of RISCs originated by PrimaLend's now-insolvent borrowers. As 2019, Prime Asset secured a $35,000,000 RLOC from PrimaLend (the "**RLOC Agreement**", such, PrimaLend has grown increasingly committed to treating Prime Asset like a captive loan-Exhibit A). Later that year, on November 27, 2019, Prime Asset obtained an $11,000,000 term servicer and, ultimately, in forcing Prime Asset's ownership to surrender their equity-interests in loan, subordinated to the RLOC (the "**Subdebt Agreement**", Exhibit B). On September 1, 2022, the company to PrimaLend.

PrimaLend increased Prime Asset's RLOC to $50,000,000 (the "**RLOC Amendment**", Exhibit

36. Prime Asset's financial operations are supported by both an RLOC and a C) and its Subdebt to $14,000,000 (the "**Subdebt Amendment**", Exhibit D). subordinated loan from PrimaLend, which serves as Prime Asset's sole lender. On February 28,

2019, Prime Asset secured a $25,000,000 RLOC from PrimaLend (the "RLOC Agreement"

37. At all relevant times, Jensen has been fully aware of, and taken full Exhibit A). Later that year, on November 27, 2019, Prime Asset obtained an $11,000,000 term advantage of, the pervasive extent of his control over Prime Asset. Indeed, during a January 2025 loan, subordinated to the RLOC (the "Subdebt Agreement", Exhibit B). On September 1, 2022, conversation with Ryan, Jensen sought to convince Ryan to surrender his equity stake in Prime PrimaLend increased Prime Asset's RLOC to $50,000,000 (the "RLOC Amendment", Exhibit C) Asset, and Jensen emphasized that very control. While acknowledging that PrimaLend lacked *de* and its Subdebt to $14,000,000 (the "Subdebt Amendment", Exhibit D).

jure authority over Prime Asset's decision making, Jensen asserted that PrimaLend's "economic"

37. At all relevant times, Jensen has been fully aware of, and taken full advantage of, control over Prime Asset gave PrimaLend a *de facto* equity stake in Prime Asset. Moreover, Jensen the pervasive extent of his control over Prime Asset. Indeed, during a January 2025 conversation

asserted that Ryan's equity was effectively held in trust for PrimaLend and that Jensen himself

COUNT SIX

(Declaratory Judgment – All Defendants)

123. Prime Asset incorporates all preceding and subsequent allegations as if fully set forth herein.

124. On June 26, 2024, without authority or proper documentation, Jensen unilaterally (despite having no equity or management interest in Prime Asset) caused Prime Asset to purchase from AOA approximately $18,000,000 in assets that were subject to over $35,000,000 in debt. Jensen's unilateral action to transfer these debt tranches to Prime Asset without its consent renders the repurchase invalid.

125. Jensen's unilateral action to transfer these debt tranches to Prime Asset without its consent renders the repurchase invalid.

126. Wherefore, Prime Asset respectfully requests a declaratory judgment that the repurchase of these tranches of debt from AOA is invalid and unenforceable.

COUNT SEVEN

(Declaratory Judgment – All Defendants)

127. Prime Asset incorporates all preceding and subsequent allegations as if fully set forth herein.

128. PrimaLend has asserted that Prime Asset is indebted to it under the RLOC and Subdebt Agreements, and that this debt extends to the full face value of those agreements.

129. Pursuant to Texas law, Prime Asset is entitled to offset the debts it owes to PrimaLend, if any, by the amount PrimaLend owes Prime Asset, including for claims of fraudulent transfer, tortious interference, breach of fiduciary duty, and bad faith.

130. Pursuant to 11 U.S.C. § 553(a), and barring exceptions that do not apply here, nothing in the Bankruptcy Code "affect[s] any right of a creditor to offset a mutual debt owing by such creditor to the debtor that arose before the commencement of the case under this title against a claim of such creditor against the debtor that arose before the commencement of the case."

131. Wherefore, Prime Asset respectfully requests a declaratory judgment that Prime Asset incorporates all preceding and subsequent allegations as if fully set forth its debts to the Defendants, if any, are subject to offset under 11 U.S.C. § 553(a) up to the full herein.

values of Prime Asset's claims as determined at trial.

PrimaLend has asserted that Prime Asset is indebted to it under the RLOC and Subdebt

Agreements, and that this debt extends to the full face value of those agreements.

COUNT EIGHT

(Order Restraining Foreclosure – All Defendants)

Pursuant to Texas law, Prime Asset is entitled to offset the debts it owes to PrimaLend, if

132. In reliance on Prime Asset's alleged default under the RLOC Agreement, any, by the amount PrimaLend owes Prime Asset, including for claims of fraudulent transfer, PrimaLend has taken multiple steps towards foreclosing on Prime Asset's assets—including its tortious interference, breach of fiduciary duty, and bad faith.

demand that Prime Asset surrender all collateral and consent to the appointment of a receiver.

Pursuant to 11 U.S.C. § 553(a), and barring exceptions not applicable here, nothing in the

Bankruptcy Code "affects [any right of a creditor to offset a mutual debt owing by such creditor

The Defendants' allegations of default, however, do not account for Prime

to the debtor that arose before the commencement of the case under this title against a claim of

Asset's aforementioned claims, and all amounts allegedly owed by Prime Asset must first be set

such creditor against the debtor that arose before the commencement of the case."

off by Prime Asset's recovery on account of those claims.

Wherefore, Prime Asset respectfully requests a declaratory judgment that its debts to the

134. Pursuant to Tex. Bus. & Com. Code § 9.625, this Court may "order or

Defendants, if any, are subject to offset under 11 U.S.C. § 553(a) up to the full values of Prime

restrain collection, enforcement, or disposition of collateral on appropriate terms and conditions"

Asset's claims as determined at trial.

wherever the proposed disposition would not comply with the Uniform Commercial Code (as

COUNT EIGHT

enacted in Tex. Bus. & Com. Code § 9). Such compliance includes, of course, the existence of a

(Order Restraining Foreclosure – All Defendants)

valid default prior to any foreclosure.

In reliance on Prime Asset's alleged default under the RLOC Agreement, PrimaLend has

135. Wherefore, Prime Asset respectfully requests an order, pursuant to Tex.

taken multiple steps towards foreclosing on Prime Asset's assets—including its demand that

Bus. & Com. Code § 9.625, restraining the Defendants from foreclosing on Prime Asset's property

Prime Asset surrender all collateral and consent to the appointment of a receiver.

except to the extent that, following liquidation and setoff of Prime Asset's claims, Prime Asset

The Defendants' allegations of default, however, do not account for Prime Asset's

retains net-liability towards the Defendants.

aforementioned claims, and all amounts allegedly owed by Prime Asset must first be set off by

Prime Asset's recovery on account of those claims.

Pursuant to Tex. Bus. & Com. Code § 9.625, this Court may "order or restrain collection, enforcement, or disposition of collateral on appropriate terms and conditions" wherever the proposed disposition would not comply with the Uniform Commercial Code (as enacted in Tex. Bus. & Com. Code § 9). Such compliance includes, of course, the existence of a valid default prior to any foreclosure.

WHEREFORE, for the forgoing reasons, Prime Asset respectfully requests that this Court enter judgment against the Defendants:

a) Voiding the September 2022 and October 2022 fraudulent transfers and ordering disgorgement of all funds improperly received by PrimaLend as a result of those transactions;

b) Granting damages in an amount to be determined at trial, but not less than $45,000,000.

c) Declaring that the AOA Transaction was void, that the transferred assets remain the property of AOA, and that all debts purportedly owed by Prime Asset to the Defendants resulting from the AOA transaction are null and void;

d) Setting off all obligations owed by Prime Asset to any of the Defendants by the damages recovered by Prime Asset;

e) Permanently enjoining the Defendants from collecting or seeking to collect on Prime Asset's collateral on the basis of the offset debt;

f) Restraining the Defendants from foreclosing on Prime Asset's property under Tex. Bus. & Com. Code § 9.625;

g) Awarding pre- and post-judgment interest;

h) Awarding reasonable attorneys' fees; and

i) Granting such other and further relief as this Court deems just and equitable.

Wherefore, Prime Asset respectfully requests an order, pursuant to Tex. Bus. & Com. Code § 9.625, restraining the Defendants from foreclosing on Prime Asset's property except to the extent that, following liquidation and setoff of Prime Asset's claims, Prime Asset retains net-liability towards the Defendants.

WHEREFORE, for the forgoing reasons, Prime Asset respectfully requests that this Court enter judgment against the Defendants:

(a) Voiding the September 2022 and October 2022 fraudulent transfers and ordering disgorgement of all funds improperly received by PrimaLend as a result of those transactions;

(b) Granting damages in an amount to be determined at trial, but not less than $45,000,000;

(c) Declaring that the AOA Transaction was void, that the transferred assets remain the property of AOA, and that all debts purportedly owed by Prime Asset to the Defendants resulting from the AOA transaction are null and void;

(d) Setting off all obligations owed by Prime Asset to any of the Defendants by the damages recovered by Prime Asset;

(e) Permanently enjoining the Defendants from collecting or seeking to collect on Prime Asset's collateral on the basis of the offset debt;

(f) Restraining the Defendants from foreclosing on Prime Asset's property under Tex. Bus. & Com. Code § 9.625;

(g) Awarding pre- and post-judgment interest;

(h) Awarding reasonable attorneys' fees; and

(i) Granting such other and further relief as this Court deems just and equitable.

Dated: January 7, 2026

/s/

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Respectfully submitted,

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